

Learning4help by Waqas

Asslam-o-Alaikum! In this file we'll provide you **ECO402 Most Important & 100% Correct Midterm MCQs Verified by Myself and Handouts** As well (but I am not responsible for any answer you should verify yourself too). **Must Prepare Before Midterm Exams.** Local Students (Muzaffargarh) can also avail

Physical classes as well.

If you found mistake then let us know.

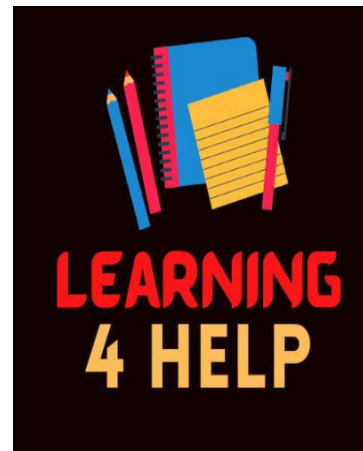
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Question # 1 of 10 (Start time: 09:17:59 PM, 26 April 2024)

If X is a normal good, a rise in money income will shift the:

Select the correct option

- ☐ Supply curve for X to the left
- ☒ Demand curve for X to the right
- ☐ Demand curve for X to the left
- ☐ Supply curve for X to the right

Question # 2 of 10 (Start time: 09:17:59 PM, 26 April 2024)

Suppose demand curve for good A has shifted to the right as a result of increase in price of good B. From this we can infer that:

Select the correct option

- ☐ A and B are complements.
- ☐ B is used to produce good A.
- ☐ A is used to produce good B.
- ☒ A and B are substitutes.

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If the percentage change in quantity demanded for bread is more than the percentage change in price of bread then the price elasticity of demand for bread is:

Select the correct option

- ☐ Inelastic.
- ☐ Unitary elastic.
- ☐ Perfectly elastic.
- ☒ Elastic.

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Suppose a consumer is spending all of his income on food (measured on x-axis) and books (measured on y-axis). Which of the following will pivot the budget line outward towards x-axis?

Select the correct option

- ☐ Decrease in price of food
- ☐ Increase in price of food
- ☒ Decrease in price of books
- ☐ Increase in price of books

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The demand curve is downward sloping if the price elasticity of demand is:

Select the correct option

- ☒ Negative.
- ☐ Zero.
- ☐ Positive.
- ☐ Infinite.

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Suppose the income of consumer raises by 100 % and prices also rise by the same percentage, the budget line of the consumer will:

Select the correct option

- ☐ Shift inwards.
- ☒ Remain same.
- ☐ Shift outwards.
- ☐ Rotate outer towards X-axis.

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Basic economic problem of every economy is:

Select the correct option

- ☐ Unlimited material resources.
- ☒ Unlimited wants and needs.
- ☐ Abundant productive capital.
- ☐ Abundant productive labor.

Which of the following characteristics differentiates competitive market from non-competitive market?

Select the correct option

- ☐ The size of the firms in the market.
- ☐ The annual sales made by the largest firms in the market.
- ☐ The presence of government intervention.
- ☒ The extent to which any firm can influence the price of the product.

Amount of one good that a consumer gives up to obtain more of another good is known as marginal rate of:

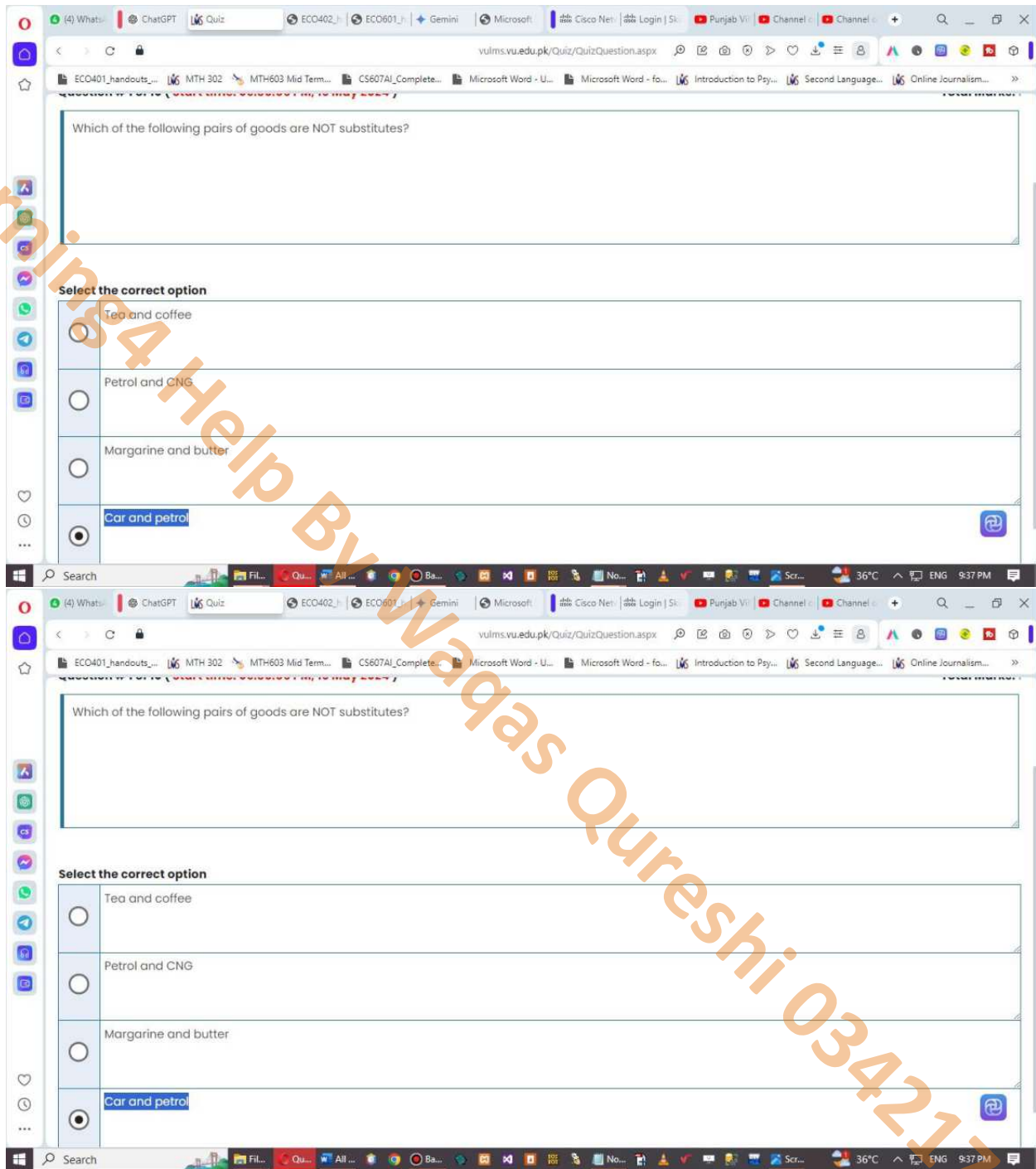
Select the correct option

- ☒ Substitution.
- ☐ Disutility.
- ☐ Utility.
- ☐ Technical substitution.

Suppose a consumer is spending all of his income on food (measured on x-axis) and books (measured on y-axis). Which of the following will pivot the budget line inward towards x-axis?

Select the correct option

- ☐ Decrease in price of food
- ☐ Decrease in price of books
- ☒ Increase in price of food
- ☐ Increase in price of books



Which of the following best describe the behavior of a risk averse person?

Select the correct option

- ☒ Insurance
- ☐ None of the given options
- ☐ Gambling
- ☐ Crime

The demand of a consumer is directly related to the demand of other consumers. This phenomenon is explained by _____ effect.

Select the correct option

- ☐ Substitution
- ☒ Bandwagon
- ☐ Snob
- ☐ Income

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Question # 4 of 10 (Start time: 09:40:35 PM, 16 May 2024) Total Marks: 1

The extent to which possible outcomes of an uncertain event may differ is known as:

Select the correct option

- ☒ Variability
- ☐ Expected value
- ☐ Probability
- ☐ Deviation

Question # 5 of 10 (Start time: 09:41:24 PM, 16 May 2024) Total Marks: 1

If a person prefers a certain given income to a risky income with the same expected value, then this person is called as:

Select the correct option

- ☐ Risk loving
- ☒ Risk averse
- ☐ Irrational
- ☐ Risk neutral

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Nida has increasing marginal utility of income. Based on this information, Nida can be considered as:

Select the correct option

- ☐ Risk loving
- ☐ Irrational
- ☒ Risk averse
- ☐ Risk neutral

The snob effect corresponds best to a:

Select the correct option

- ☐ Bandwagon effect.
- ☒ Negative network externality.
- ☐ Giffen good.
- ☐ Positive network externality.

Suppose a consumer is spending all of his income on food (measured on x-axis) and books (measured on y-axis). Which of the following will pivot the budget line inward towards x-axis?

Select the correct option

- ☒ Increase in price of food
- ☐ Decrease in price of books
- ☐ Increase in price of books
- ☐ Decrease in price of food

Something which provides flow of money or service to its owner is known as:

Select the correct option

- ☐ Insurance.
- ☒ Assets.
- ☐ Income.
- ☐ Expected income.

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Question # 1 of 10 (Start time: 10:26:13 PM, 16 May 2024) Total Marks: 1

What will be the effect on consumer expenditures for the purchase of unit price elastic good?

Select the correct option

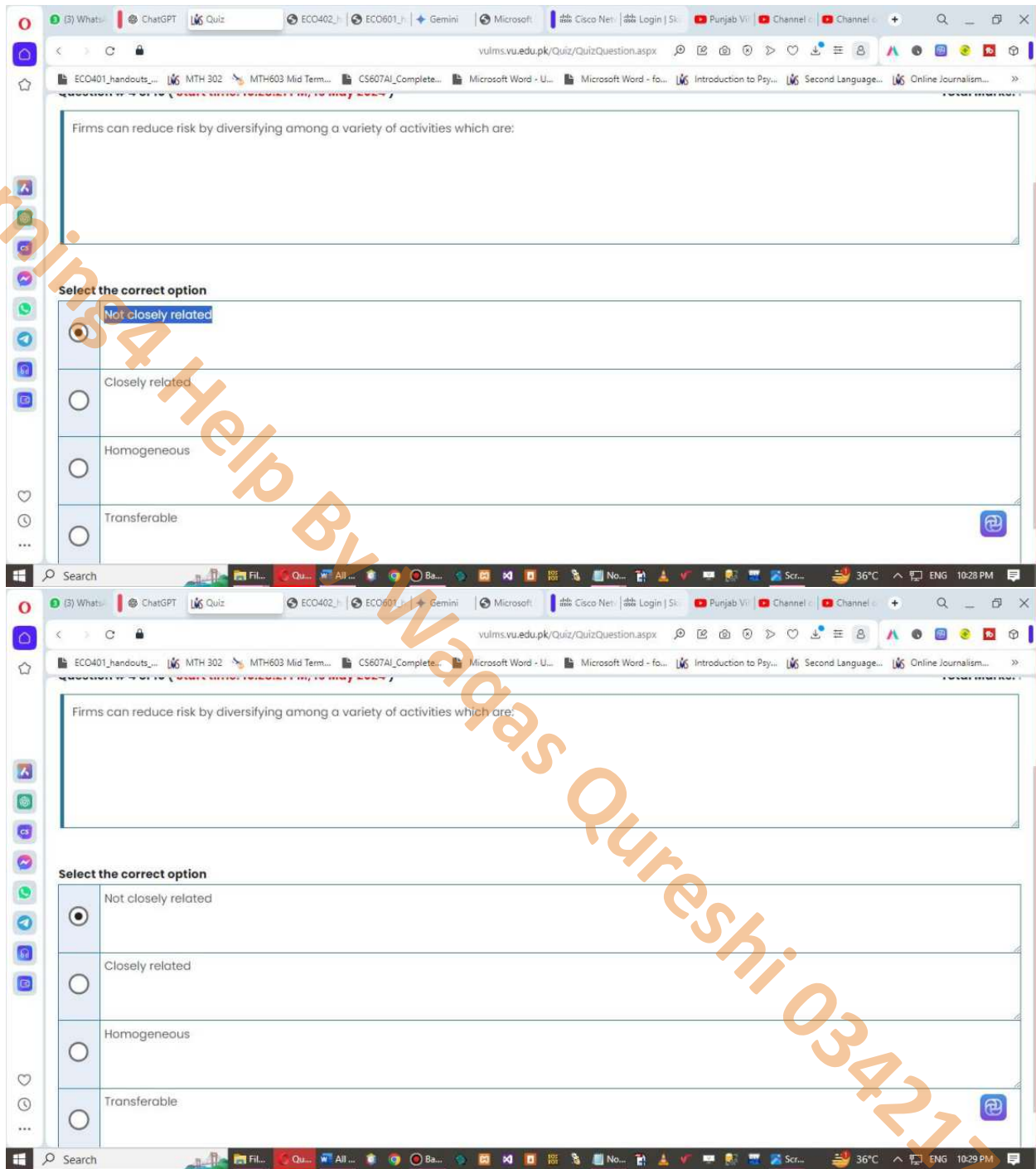
- ☐ Increase when price increases.
- ☐ Decrease when price increases
- ☒ Increase when price decreases
- ☐ Do not change when price decreases or increases.

Question # 2 of 10 (Start time: 10:26:13 PM, 16 May 2024) Total Marks: 1

Which of the following concepts refers to the desire to own exclusive or unique goods?

Select the correct option

- ☐ Bandwagon effect
- ☐ Price effect
- ☒ Snob effect
- ☐ Substitution effect



Question # 5 of 10 (Start time: 10:29:13 PM, 16 May 2024) Total Marks: 1

The quantity of a good demanded by a consumer increases in response to an increase in purchases by other consumers. This concept is known as:

Select the correct option

- ☐ Consumer surplus
- ☐ Producer surplus
- ☒ Positive network externality
- ☐ Negative network externality

Question # 6 of 10 (Start time: 10:29:13 PM, 16 May 2024) Total Marks: 1

Ahmed prefers the gamble to a certain income. This behavior shows that Ahmed is:

Select the correct option

- ☐ Irrational
- ☐ Risk loving
- ☐ Risk neutral
- ☒ Risk averse

Select the correct option

Substitution effect

Network externality

Select the correct option

Becomes perfectly inelastic

Shifts to the right

Question # 9 of 10 (Start time: 10:33:18 PM, 16 May 2024) Total Marks: 1

Nida is shopping for new bag. She expects to pay Rs.1, 000 with 0.5 probability and Rs.15, 00 with 0.5 probability. Refer to the above scenario, Nida's expected value for new bag is:

Select the correct option

☒ Rs. 1250.

☐ Rs. 2500.

☐ Rs. 1500.

☐ Rs. 1000.

Question # 9 of 10 (Start time: 10:33:18 PM, 16 May 2024) Total Marks: 1

Nida is shopping for new bag. She expects to pay Rs.1, 000 with 0.5 probability and Rs.15, 00 with 0.5 probability. Refer to the above scenario, Nida's expected value for new bag is:

Select the correct option

☒ Rs. 1250.

☐ Rs. 2500.

☐ Rs. 1500.

☐ Rs. 1000.

Question # 10 of 10 (Start time: 10:34:30 PM, 16 May 2024) Total Marks: 1

Slope of income consumption curve for the normal goods is:

Select the correct option

- ☐ First negative then positive.
- ☒ Positive.
- ☐ First positive then negative.
- ☐ Negative.

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